Whether you're a sensible user or a bit dysfunctional when it comes to credit cards, there are steps you can take to get the right card and reduce your costs. It's especially important that you know what to do these days; making credit mistakes can cost you a lot of money.

How to Find the Best Card for You

Despite what the ads say, whether your card has a Visa seal or MasterCard logo is not that important. These are just membership organizations. It's the bank or company that *issues* the card—such as Citibank or Bank of America—that matters. Issuers control the rates, fees, and other factors that are critical to you.

Look for a credit card that best suits your own personal spending habits. If you usually carry a balance from month to month, get the lowest interest rate—technically the **annual percentage rate** or **APR**—you can. But if you always pay off your balance in full, the rate doesn't matter. In that case, your priority is to find a card that doesn't charge an annual fee and offers a **grace period,** the stretch of time lenders give you to pay in full before they start charging interest.

If you pay off your entire balance each month, you may also want to consider special "reward" cards that offer frequent-flyer mileage or credits toward a car for every dollar you charge. If you have a troubled credit history, consider a secured card that requires you to have enough money on deposit to cover your charges, and if you have a tough time controlling your credit card spending, you may be better off just sticking with a debit card instead. (More on all these options follows.)

In any case, most of us don't need more than two credit cards total. Extra cards just make it easier to overspend.

How to Search for a Low-Rate Credit Card

If you find you don't have enough cash to pay off your credit card balance immediately, you'll want to get the lowest-rate card possible and transfer your debt to it. The way it generally works is that the new low-rate issuer pays off your other creditor(s) or gives you checks to settle your old accounts. The details vary from card to card, though, so you need to read the fine print (online, generally buried in the "terms and fees" page or in the paperwork the company sends you) before signing up. Some low-rate